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BYD Company Limited | Asia Pacific

Domestic Turns, Overseas Compounds

BYD is confident in a 2H26 domestic recovery, with the ramp of ultra-fast capable models lending extra impetus, while overseas sales and profitability remain resilient amid improving cash flow. The structural setup into 2027 looks benign. Stay OW.

Key Takeaways

- Management is confident in a 2H26 domestic sales recovery, with the rollout of ultra-fast charging models driving a strong order backlog.
- Overseas profit remains solid, with per unit profit at ~Rmb20k. 2.5mn+ overseas sales target for 2027 appears compelling, on deeper market penetration, premiumization and localization.
- Capex stabilizes after several years of expansion. Overall fixed asset investment is leveling off, with ultra-fast charging and batteries the priority.
- Policy overhangs are real but largely known, well-telegraphed and manageable.
- A full AI energy solution across solar, storage, 800V architecture, liquid cooling, and semis reinforces its competitive positioning.

Overseas volume compounds while profitability holds. 2H26 monthly run rate of overseas sales targets at 180-200k units, with per unit profit broadly stable. Once the FX headwind seen in 1H eases, overseas margin should improve even before benefits from scale and product mix materialize. The overseas sales trajectory supports mgmt's 2.5mn+ 2027 target with penetration still low across markets.

Localization turns cost into margin over the next 1-2 years. As utilization improves, local production should become more cost competitive, with shipping and tariff savings accruing. Freight exceeds Rmb10k per car while European tariffs are ~Rmb40k per unit. We believe what is a headwind today could become a structural margin tailwind as overseas plants mature. Localized supply chains and production are strategic priorities and provide the most effective hedge against policy risks.

Overseas premiumization gives BYD pricing power that many peers lack. Beyond Dynasty and Ocean, higher-end models are moving into mainstream geographies. Premium marques are outgrowing mass lines and pulling ASP, share and profitability up together, as the growth is tech led, not discounting.

Policy remains a known risk, and BYD appears well positioned to navigate it. Without any clarity on adjournment to export VAT rebates, BYD's stronger brand and product should support better pass-through than peers, while localized supply and production mitigate the impact structurally.

MORGAN STANLEY ASIA LIMITED+

Tim Hsiao	
Equity Analyst	
Tim.Hsiao@morganstanley.com	+852 2848-1982
Peggy Wang	
Research Associate	
Peggy.Pc.Wang@morganstanley.com	+852 3963-3934
Shelley Wang, CFA	
Equity Analyst	
Shelley.Wang@morganstanley.com	+852 3963-0047
Joey Xu, CFA	
Equity Analyst	
Joey.Xu@morganstanley.com	+852 3963-0337
Junming Zhang	
Research Associate	
Junming.Zhang1@morganstanley.com	+852 2848-5412

BYD Company Limited (1211.HK, 1211 HK)

China Autos & Shared Mobility | China

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$121.00
Up/downside to price target (%)	40
Shr price, close (Sep 4, 2026)	HK\$86.15
52-Week Range	HK\$115.40-71.40
Sh out, dil, curr (mn)	4,513
Mkt cap, curr (mn)	Rmb727,223
EV, curr (mn)	Rmb767,896
Avg daily trading value (mn)	HK\$2,573

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	3.61	4.21	5.42	6.52
Revenue, net (Rmb mn)	803,965	851,597	933,966	1,011,101
EBITDA (Rmb mn)	120,061	135,318	164,303	193,721
P/E	23.7	17.5	13.6	11.3
P/BV	3.1	2.5	2.3	2.0
ROE (%)	17.6	15.4	18.3	20.0
EV/EBITDA	7.2	5.8	4.8	4.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Ultra-fast charging and battery supply are the domestic engines. The demand read is clean, with strong uptake of ultra-fast charging-capable vehicles and an order backlog exceeding 250k units. Management expects the 2nd generation Blade bottleneck to be resolved by Jan-Feb 2027, after which all BEV models are expected to adopt the cell by next year, unlocking ultra-fast charging across the domestic lineup and extending BYD's structural share gains. BYD has deployed 10k ultra-fast charging stations and continues to expand through partnerships with Shell overseas and Sinopec domestically, toward a 90k long-term target from 20k this year, with 30k and 40k to follow.

Energy storage is emerging as a second pillar. Shipments target 60-70GWh this year, and management is bullish on data centre and broader AI-driven storage demand. Growth is primarily constrained by battery supply availability. As battery capacity becomes less constrained, storage shipments should accelerate. We also see the broader power electronics value chain, including IGBTs and silicon carbide, as an underappreciated beneficiary of this trend.

AD is a catch-up story turning into a lead. Attach rate of paid God's Eye Smart Driving System already surpassed 30%. We see several constructive developments: the ADAS/AD roadmap continues to move upmarket, L3 regulations could be introduced next year, and BYD's liability-backed approach has gained consumer acceptance. Leveraging one of the industry's largest vehicle data pools and increasing AI investment, BYD expects the gap vs. peers to reverse by next year. Combining hardware, software, and reliability at BYD's scale and data advantage will be difficult for rivals to replicate.

Capex is rolling into a free cash flow inflection as investment is past its peak and is now concentrated on the 2nd gen Blade and ultra-fast charging, with management prioritizing stable self-generated operating cash flow over growth at any cost.

Stay OW; the risk-reward has been improving. The bear case increasingly comes down to policy and valuation. Policy risks are well understood and increasingly mitigated through localization, while valuation could re-rate as investors roll into 2027 on fuller new model contribution alongside resilient overseas growth and profitability. Near term, we see the domestic business as the more likely catalyst, with Sept-Oct seasonality and battery de-bottlenecking aligning, and we look for exports to remain robust at 180-200k units/month and domestic sales to strengthen on rising battery supply and a rich backlog. We believe the combination of an under-modelled overseas mix, a solid ultra-fast charge order book, and a free cash inflection anchor a compelling risk-reward profile.

Risk Reward – BYD Company Limited (1211.HK)

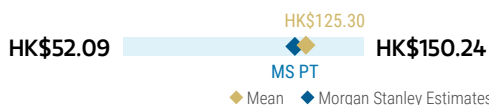
Global EV bellwether with smart driving and global ambitions

PRICE TARGET HK\$121.00

Blended methodology, weighted 25% bull, 50% base, 25% bear. We think incremental volume from ADAS adoption and trade-in stimulus extension could partially offset the fierce competitive landscape in the mass market segment.

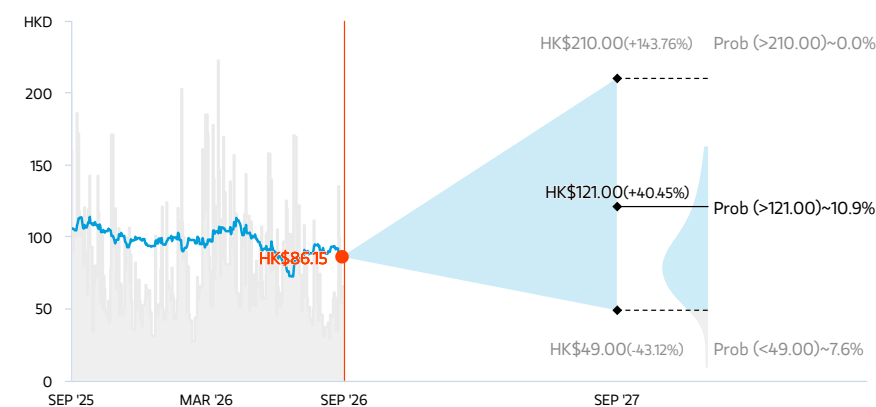
- Bull: SOTP, implying 40x 2026E bull P/E. Reflects re-rating of comps (CATL, EV startups).
- Base: DCF (14.3% WACC, 3.0% long-term growth).
- Bear: 12x 2026E P/E - worse auto sales domestically and overseas, more severe price cuts.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

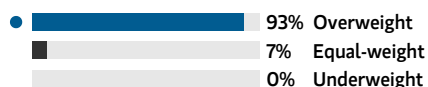


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 4 Sep 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- We expect BYD to enjoy greater advantages in cost competition and bargaining power with the supply chain vs. other Chinese OEMs, given its vertically integrated supply chain and growing scale.
- We think BYD's efforts to democratize ADAS and ultra fast charging technology in the mass market segment could eventually transform BYD into a smart driving technology enabler.
- BYD's PHEV offerings could be highly price-competitive in emerging markets where charging infrastructure is undeveloped, while it could help bypass EV tariffs in developed markets.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption:	Negative
Electric Vehicles:	Positive
Pricing Power:	Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$210.00

40x 2026E bull-case P/E

Rapid global expansion and domestic recovery: Our SOTP-based bull-case value is mainly to benchmark: 1) BYD's whole EV business with that of leading EV startups; 2) BYD's battery business with CATL; and 3) BYDE with its recent closing market cap.

BASE CASE

HK\$112.00

25x 2026E base-case P/E

2nd gen blade battery to lead domestic recovery while overseas share gain continues: We use DCF to derive our base-case valuation. We factor in 5-10% volume CAGR and 20%+ earnings CAGR from 2026-28. We expect steady ASP and unit profit to rise, with a higher proportion of overseas and premium sales offsetting ongoing price pressure in the mass market.

BEAR CASE

HK\$49.00

12x 2026E bear-case P/E

Worse-than-expected auto sales and EV battery business: We assume worse-than-expected auto sales both domestically and overseas as several emerging markets enter economic recession, while BYD cuts prices more aggressively in response to fiercer EV competition. We factor in minimum external battery sales and lower auto sales volume.

Risk Reward – BYD Company Limited (1211.HK)

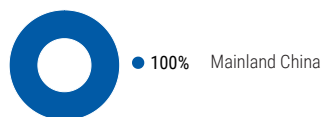
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
NEV PV Sales Volume (Rmb, mn)	4,545,423	4,508,298	4,982,166	5,385,028
NEV CV Sales Volume (Rmb, mn)	57,013	62,960	69,540	76,819
Revenue (Rmb, mn)	803,965	851,597	933,966	1,011,101
Gross Profit (Rmb, mn)	142,660	156,114	175,161	193,055
EPS (Rmb)	4	4	5	7

INVESTMENT DRIVERS

- EV sales
- ASP trend
- Overseas sales

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- New model launches
- Faster-than-expected overseas expansion
- Stronger-than-expected demand for NEVs globally

RISKS TO DOWNSIDE

- Lack of progress in overseas expansion amid rising protectionism
- Weaker-than-expected demand for NEVs globally
- Worse-than-expected gross margin

OWNERSHIP POSITIONING

Inst. Owners, % Active 53.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 792,633.0 **851,596.9** 1,085,122.0
907,325.5

EBITDA (Rmb, mn) 94,993.5 **135,318** 172,212.0
130,390.1

Net income (Rmb, mn) 31,093.0 **38,013** 49,807.0
39,336.1

EPS (Rmb) 3.4 **4.2** 5.5
4.3

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – BYD Company Limited (002594.SZ)

Global EV bellwether with smart driving and global ambitions

PRICE TARGET Rmb120.00

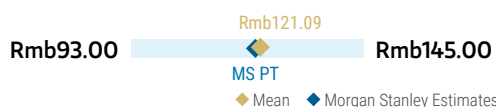
Blended methodology, weighted 25% bull, 50% base, 25% bear. We think incremental volume from ADAS adoption and trade-in stimulus extension could partially offset the fierce competitive landscape in the mass market segment.

We apply a 5% premium to our H-share bull and bear case scenario values; no premium in our bear case.

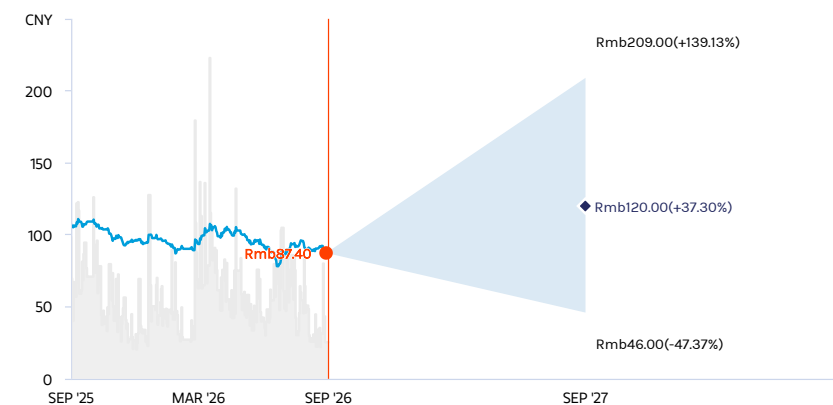
We use an exchange rate of 1.06 RMB/HKD.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



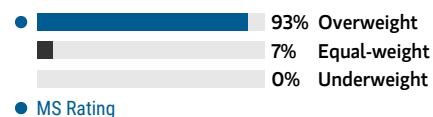
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

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Source: Refinitiv, Morgan Stanley Research

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Disruption: *Positive*

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40x 2026E bull case P/E

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Rmb46.00

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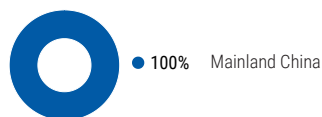
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- Weaker-than-expected demand for NEVs
- Worse-than-expected gross margin

OWNERSHIP POSITIONING

Inst. Owners, % Active 81.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

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EBITDA (Rmb, mn) 94,993.5 **135,318** 156,279.0
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Net income (Rmb, mn) 31,093.0 **38,013** 48,721.0
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EPS (Rmb) 3.4 **4.2** 5.3
4.4

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of August 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

BYD Company Limited (002594.SZ) - As of 09/07/26 GMT in CNY
Industry : China Autos & Shared Mobility



BYD Company Limited (1211.HK) - As of 09/07/26 GMT in HKD
Industry : China Autos & Shared Mobility



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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/07/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb20.62
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.75
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$1.91
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.11
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.14
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.16
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb15.39
Jiangsu Changshu Automotive Trim Group (603035.SS)	U (09/01/2026)	Rmb10.78
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb19.26
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.58
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$2.56
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb28.43
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb60.28
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb30.13
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb79.28
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK\$0.34
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK\$0.81
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb28.68
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb55.75
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$56.55
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb88.56
Keboda (603786.SS)	O (01/17/2024)	Rmb39.77
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$25.28
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.27
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$4.93
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb19.57
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb47.06
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb11.42
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb63.50
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$12.62
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb36.50
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK\$3.55
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.92
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb86.51
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$84.50
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$4.69
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$16.79
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb14.95
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$7.64
Hesai Group (HSAI.O)	O (07/28/2025)	US\$18.89
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.40
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$12.37
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$50.40
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$29.22
NIO Inc. (NIO.N)	O (08/26/2020)	US\$3.80
WeRide Inc (WRD.O)	O (11/19/2024)	US\$5.98
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$42.00
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$10.95

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